Sales planning and forecasting

Overview:

Many organizations today are faced with various business challenges. From increasing sales to enhancing productivity, these challenges affect an organization's overall performance and bottom line. In order for organizations to stay competitive, it is important for them to plan ahead and understand what changes, if necessary, need to occur in order to remain profitable.

Forecasting is necessary in order to estimate upon which to build an accurate plan. Salespeople for instance, use forecasts to make sales plans, create sales quotas, and make better estimates of future sales; however, a forecast is only as good as the accuracy and completeness of the data used to create it. Without doing so, sales organizations may either over or understate their true performance, which inevitably effects future planning.

A sales forecast is an estimation of sales volume that a company can expect to attain within the plan period. A sales forecast is not just a sales predicting. It is the act of matching opportunities with the marketing efforts. Sales forecasting is the process of estimating future sales.

Importance of Sales Forecasting:

1. Accurate sales forecasts enable companies to make informed business decisions and predict short-term and long-term performance

2. Supply and demand for the products can easily be adjusted, by overcoming temporary demand.

3. Sales opportunities are searched out on the basis of forecast; mid thus discovery of selling success is made.

4. It is a gear, by which all other activities are controlled as a basis of forecasting.

5. Advertisement program are beneficially adjusted with full advantage to the firm.

6. It is an indicator to the department of finance as to how much and when finance is needed; and it helps to overcome difficult situations.

7. It is a measuring rod by which the efficiency of the sales personnel or the sales department, as a whole, can be measured.

8. Sales personnel and sales quotas are also regularized-increasing or decreasing-by knowing the sales volume, in advance.

9. It regularizes productions through the vision of sales forecast and avoids overtime at high premium rates. It also reduces idle time in manufacturing.

10. As is the sales forecast, so is the progress of the firm. The master plan or budget of a firm is based on forecasts. “The act of forecasting is of great benefit to all who take part in the process, and is the best means of ensuring adaptability to changing circumstances

Methods of Sales Forecasting

- **Qualitative method**

  1. Executive Opinion.
  2. Sales Force Opinion.
  3. Test Marketing Result.
  4. Delphi method.

- **Quantative method**

  1. Moving averages
  2. Naïve/Ratio method
  3. Econometric analysis

❖ Qualitative methods

1. Executive Opinion:

This method of sales forecasting is the oldest. One or more of the executives, who are experienced and have good knowledge of the market factors make out the expected sales. The executives are responsible while forecasting sales figures through estimates and experiences.

Merits:

(a) This method is simple and quick.

(b) Detailed data are not needed.

(c) There is economy.

Demerits:

(a) It is not based on factual data.

(b) It is difficult to draw a final decision.

(c) More or less, the method rests on guess-work, and may lead to wrong forecasts.

(d) It is difficult to break down the forecasts into products, markets, etc.

2. Sales Force Opinion:

Under this method, salesmen, or intermediaries are required to make out an estimate sales in their respective territories for a given period. Salesmen are in close touch with the consumers and possess good knowledge about the future demand trend. Thus all the sales force estimates are processed, integrated, modified, and a sales volume estimate formed for the whole market, for the given period.

Merits:

(a) Specialized knowledge is utilized.

(b) Salesmen are confident and responsible to meet the quota fixed.

(c) This method facilitates to break down in terms of products, territories, customers, salesmen etc.

Demerits:

(a) Success depends upon the competency of salesmen.

(b) A broad outlook is absent.

(c) The estimation may be unattainable or may to too low for the forecasts as the salesmen may be optimistic or pessimistic.

3. Test Marketing Result:

Under the market test method, products are introduced in a limited geographical area and the result is studied. Taking this result as a base, sales forecast is made. This test is conducted as a sample on pre-test basis in order to understand the market response.

Merits:
(a) The system is reliable as forecast is based on actual result.

(b) Management can understand the defects and take steps to rectify.

(c) It is good for introducing new products, in a new territory etc.

Demerits:
(a) All the markets are not homogeneous. But study is made on the basis of a part of a market.

(b) It is a time-consuming process and costly

4. Delphi method:

Process includes a coordinator getting forecasts separately from experts, summarizing the forecasts, giving the summary report to experts, who are asked to make another prediction; the process is repeated till some consensus is reached.

Experts are company managers, consultants, intermediaries, and trade associations.

Merits:

(a) Objective, good accuracy

Demerits:

(a) Getting experts, no breakdown into subunits

(b) time required: medium (3/4 weeks) to long (2/3 months)

- ❖ Quantitative methods

1. Econometric Model:

This is a mathematical approach of study and is an ideal way to forecast sales. This method is more useful for marketing durable goods.

In the simplest terms, econometricians measure past relationships among such variables as consumer spending, household income, tax rates, INTEREST RATES, employment, and the like, and then try to forecast how changes in some variables will affect the future course of others.

2. Moving averages method:

Procedure is to calculate the average company sales for previous years

Moving averages name is due to dropping sales in the oldest period and replacing it by sales in the newest period.

- Merits:

Simple and easy to calculate, low cost, less time, good accuracy for short term and stable conditions

- Demerits:

Can not predict downturn / upturn, not used for unstable market conditions and long-term forecasts

3. Naive / Ratio Method

what happened in the immediate past will happen in immediate future

- Simple formula used:

- Merits:

simple to calculate, low cost, less time, accuracy good for short-term forecasting

- Demerits:

less accurate if past sales fluctuate

Limitations of Sales Forecast:

In certain cases forecast may become inaccurate. The failure may be due to the following factors**:**

1. Fashion:

Changes are throughout. Present style may change any time. It is difficult to say as to when a new fashion will be adopted by the consumers and how long it will be accepted by the buyers. If our product is similar to the fashion and is popular, we are able to have the best result; and if our products are not in accordance with the fashion, then sales will be affected.

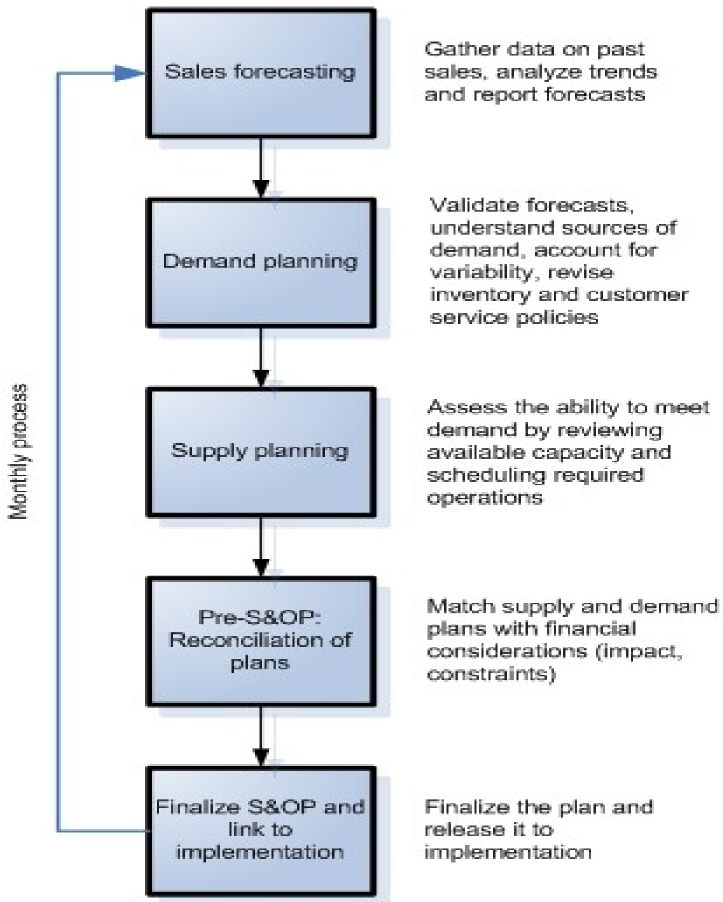
2. Lack of Sales History:

A sales history or past records are essential for a sound forecast plan. If the past data are not available, then forecast is made on guess-work, without a base. Mainly a new product has no sales history and forecast made on guess may be a failure.

3. Psychological Factors:

Consumers' attitude may change at any time. The forecaster may not be able to predict exactly the behaviour of consumers. Certain market environments are quick in action. Even rumours can affect market variables. For instance, when we use a particular brand of soap, it may generate itching feeling on a few people and if the news spread among the public, sales will be seriously affected

Process of sales forecasting



The monthly Sales and Operations Planning process